

BOARD OF CBA

MINUTES

(24.03.2015)

Refinancing Rate for March 24, 2015

The CBA Board Meeting of March 24, 2015 attended by Deputy Chairman Nerses Yeritsyan, and Board Members Artur Stepanyan, Vaghtang Abrahamyan, Armenak Darbinyan, Oleg Aghasyan and Ashot Mkrtchyan.

The Board Meeting opened with presentation of Situation Report as of March 24, 2015. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 0.2 percent deflation recorded in February of 2015. In late February, the 12-month inflation rate amounted to 5.4 percent driven by increased prices in commodity groups “fruits”, “dairy products”, “bread products”, “meat products” with a total of 3.0 percent contribution and risen service tariffs in items “housing, utilities” and “leisure and rest” with their combined contribution of 0.9 percent. At the end of the month, the 12-month core inflation rate was 4.2 percent.

The economic activity indicator grew by 2.5 percent due to higher than expected growths registered in agriculture and construction sectors over the last two months of the first quarter of 2015. In terms of demand, the economic activity in the period above referred was shored up by slower than expected reduction in private investment as well as implemented fiscal policy, the impact of which on aggregate demand was consistent with projection and is an estimated 1.9 expansionary.

A complete picture of foreign trade indicators for January-February 2015 is still lacking as not all key data of mutual trade between the EEC countries have been so far within reach. The data will be presented in upcoming releases once these become available.

The Board reflected on the developments in the financial market. In March, interest rates trended downward in response to reducing Lombard Repo Facility Rate, which was at the time the financial market's leading rate (cut abruptly at the start of the year to 12.0 percent in late March 2015). As a result, as of 19th of March, average monthly interbank repo rate was 13.0 percent (a 2.0 pp drop against the previous month) and average market rate of treasury bills with up to 1-year of maturity was 14.3 percent (a 2.3 pp decrease in relation to the previous month).

Decisive action of the CBA, steered to weather the tension in the domestic foreign exchange market later the year, helped reduce pressures in that market gradually and put the dram exchange rate on a steadier path during the first quarter of 2015. As of 19th of March, relative to the previous month, average dram exchange rate has depreciated versus the U.S. dollar by 0.8 percent to AMD 479.5; versus the Russian ruble by 7.9 percent to AMD 7.7 but appreciated versus Euro by 1.7 percent to AMD 530.9.

In the first quarter of 2015, the world economic growth rates kept on recovering sluggishly and were largely in line with projections. At the same time, basic commodity and food product markets continued to see deflationary developments. The FAO's Food Price Index of April 2, 2015 came out with 1.5 percent drop in March against the previous month's index (with as much as 18.7 percent reduction in relation to the same period of the previous year). Based on the U.S. Department of Agriculture and New York Board-Intercontinental Exchange data, export prices of Hard Red Wheat and Rough Sugar are expected to fall by 6.8 percent q/q (with 19.6 percent decrease y/y) and 8.0 percent q/q (with 14.2 percent decrease y/y), respectively.

According to the Central Bank estimates, the plunging of average price of "Brent" crude, as quoted at Intercontinental Exchange, will be as much as 30.0 percent in the first quarter of 2015 against the previous quarter (with 50.0 percent reduction y/y). At London Metal Exchange, the copper price will fall by 12.5 percent q/q (with 17.2 percent decrease y/y).

Depreciation of Euro versus the U.S. dollar was 9.9 percent in the first quarter of 2015 and 17.8 percent against the same period of the previous year.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

The CBA forecasts made at the beginning of the year were largely in line with recent developments in the external sector, so economic growths in the U.S., Eurozone and Russia are estimated to be consistent with predicted levels. Deflationary patterns persisted in basic commodity and food product markets, as was expected. Based on these developments, the Board anticipates minor deflationary effects from the external sector in the coming months.

A lagged effect of continued easing of monetary conditions over 2014 persisted on economic activity in the period January-February 2015. At the same time, tightened monetary conditions in late 2014 allowed the CBA to maneuver within a short period of time by loosening the tension in the domestic financial and commodity markets, thereby preventing any major negative impact from such developments on the economic activity.

In response to these developments, the CBA slashed the Lombard Repo Facility Rate early in the year, causing reduction in short-term dram market rates. A zero or weak mechanism of reserve requirement for long-term funds attracted by banks became effective on the 1st of March this year. Specifically, funds attracted by Armenian commercial banks from international financial organizations as well as long-term funds attracted through bonds issued by banks are subject to reserve requirement at a zero or reduced rate. Also, a set of macro-prudential measures came to ease the requirements to resident non-financial organizations and reduce the weight of risk to foreign currency loans for export businesses.

The changes will allow reducing the effective rate of reserve requirement ratio in a short period of time and creating real incentives for banks to attract long-term financing. This means that easing of monetary conditions, coupled with a great variety of projects carried out in cooperation with the Armenian Government and a number of international financial institutions (World Bank, Asian Development Bank, KFW Bank, the European Investment Bank) for various social programs (housing for young families, student loans, etc.) and individual sectors (SME, agriculture, renewable energy, housing, etc.) will greatly contribute to the economic revival.

According to the CBA forecasts, the 12-month inflation rate will remain at the upper bound of the confidence band in the upcoming months but will approach the target by the end of

the year. The CBA will adjust the monetary policy directions in response to economic developments while making sure the inflation target is attained in the medium run.

In the March 24, 2015 meeting, the Board of the CBA decided to reduce the Lombard Repo Facility Rate by 1.5 pp to 12.0 percent and leave the Refinancing Rate unchanged, at 10.5 percent. The Deposit Facility Rate was set on 9.0 percent.

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